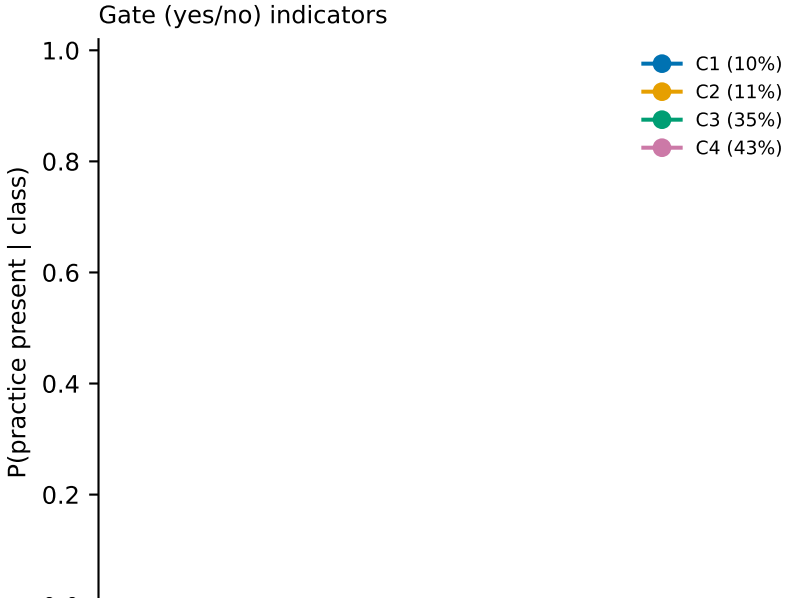
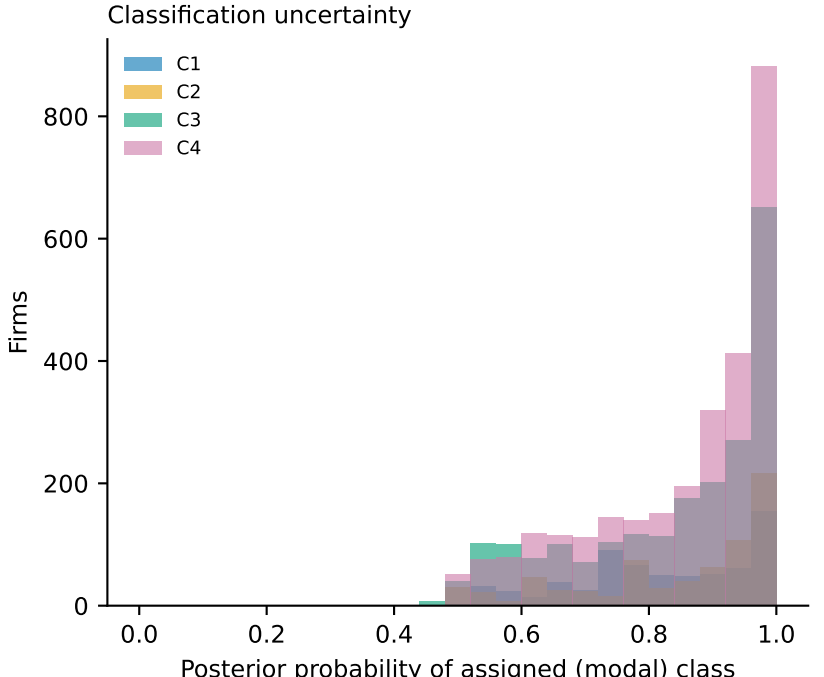
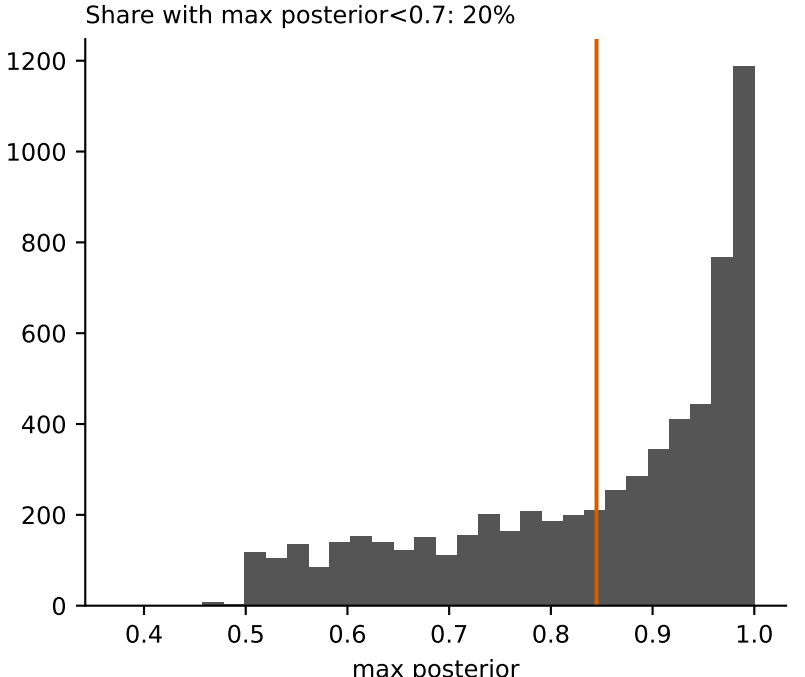

Gate (yes/no) indicators
P(practice present | class)
1.0
0.8
0.6
0.4
0.2
0.0
C1 (10%)
C2 (11%)
C3 (35%)
C4 (43%)


Classification uncertainty
Firms
800
600
400
200
0
C1
C2
C3
C4
0.0
0.2
0.4
0.6
0.8
1.0
Posterior probability of assigned (modal) class


Share with max posterior<0.7: 20%
1200
1000
800
600
400
200
0
0.4
0.5
0.6
0.7
0.8
0.9
1.0
max posterior